

# INCLUSIVE INFLATION

**India's poor are primarily in rural India. Since 2006-07, Bharat's inflation has been far higher than India's inflation, reinforcing the point about poor suffering more, that is, poor in rural India suffering more.**



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**A**bstract economic questions rarely get people involved. Exceptions are inflation and unemployment. In that sense, these aren't abstract at all and inflation has affected electoral outcomes, and might do so again. There will be consensus that inflation is a socio-political issue now, though people often misunderstand inflation, which is a rate. If the inflation rate declines, that doesn't mean prices decline. It only means the rate at which prices are increasing has dropped. Because of this perceptual problem, there is questioning of government data, though such data should be questioned because of other reasons. An inflation index requires identification of commodities, collection of price data for these items, assigning weights to the

basket and aggregation. That is, an inflation index is an average indicator and often, weights used in the average indicator don't match weights we assign to items. Food products are an instance.

Broadly, India has the wholesale price index (WPI) and three different versions of consumer price index (CPI). Since the objectives, base years, baskets and weights vary, they lead to variations in inflation figures. Globally, CPIs are used to determine policy-formulation. However, primarily because of time-lags, India uses WPI and the inflation rate reported in newspapers is the point-to-point WPI, which is a function of what the price level was at that point in time the preceding year. There are now proposals to extend coverage of WPI by including more goods and services so that it becomes a producer price index (PPI). But this won't work until systemic improvements occur. There are problems with each of the steps involved in constructing an inflation index, including the administrative

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